SimulationsPlus

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Capitalized Computer Software Development Costs

Software development costs are capitalized in accordance with ASC 985-20, “Costs of Software to Be Sold, Leased, or Marketed”. Capitalization of software development costs begins upon the establishment of technological feasibility and is discontinued when the product is available for sale.

The establishment of technological feasibility and the ongoing assessment for recoverability of capitalized computer software development costs require considerable judgment by management with respect to certain external factors including, but not limited to, technological feasibility, anticipated future gross revenues, estimated economic life, and changes in software and hardware technologies. Capitalized software development costs are comprised primarily of salaries and direct payroll-related costs and the purchase of existing software to be used in the Company’s software products. Total capitalized computer software development costs were $3.2 million, $2.9 million, and $2.4 million for the fiscal years ending August 31, 2022, 2021, and 2020, respectively.

Amortization of capitalized computer software development costs is calculated on a product-by-product basis on the straight-line method over the estimated economic life of the products, not to exceed five years. Amortization of software development costs amounted to $1.2 million, $1.4 million, and $1.2 million for the fiscal years ending August 31, 2022, 2021, and 2020, respectively. We expect future amortization expense to vary due to increases in capitalized computer software development costs.

We test capitalized computer software development costs for recoverability whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

SIMULATIONS PLUS, INC.
CONSOLIDATED BALANCE SHEETS

(in thousands, except share and per share amounts)	August 31, 2022	August 31, 2021
ASSETS		
Current assets		
Cash and cash equivalents	$ 51,567	$ 36,984
Accounts receivable, net of allowance for doubtful accounts of $12 and $78	13,787	9,851
Prepaid income taxes	1,391	1,012
Prepaid expenses and other current assets	3,377	4,846
Short-term investments	76,668	86,620
Total current assets	146,790	139,313
Long-term assets		
Capitalized computer software development costs, net of accumulated amortization of $15,672 and $14,438	9,563	7,646
Property and equipment, net	632	1,838
Operating lease right-of-use assets	1,420	1,276
Intellectual property, net of accumulated amortization of $7,928 and $6,516	9,057	10,469
Other intangible assets, net of accumulated amortization of $2,662 and $2,186	7,560	6,464
Goodwill	12,921	12,921
Other assets	439	51
Total assets	**$ 188,382**	**$ 179,978**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities		
Accounts payable	$ 225	$ 387
Accrued compensation	3,254	3,185
Accrued expenses	931	2,419
Contracts payable	—	4,550
Operating lease liability - current portion	461	382
Deferred revenue	2,864	651
Total current liabilities	7,735	11,574
Long-term liabilities		
Deferred income taxes, net	1,456	1,726
Operating lease liability	943	896
Total liabilities	10,134	14,196
Commitments and contingencies	—	—
Shareholders' equity		
Preferred stock, $0.001 par value 10,000,000 shares authorized, no shares issued and outstanding	$ —	$ —
Common stock, $0.001 par value and additional paid-in capital —50,000,000 shares authorized; 20,260,070 and 20,141,521 shares issued and outstanding	138,512	133,418
Retained earnings	40,044	32,407
Accumulated other comprehensive loss	(308)	(43)
Total shareholders' equity	178,248	165,782
Total liabilities and shareholders' equity	**$ 188,382**	**$ 179,978**

The accompanying notes are an integral part of these consolidated financial statements.

SIMULATIONS PLUS, INC.
CONSOLIDATED STATEMENTS OF OPERATIONS AND COMPREHENSIVE INCOME

(in thousands, except per common share amounts)	Years Ended August 31, 2022	2021	2020
Revenues			
Software	$ 32,642	$ 27,670	$ 21,587
Services	21,264	18,796	20,002
Total revenues	53,906	46,466	41,589
Cost of revenues			
Software	3,060	3,235	2,883
Services	7,762	7,365	7,766
Total cost of revenues	10,822	10,600	10,649
Gross profit	43,084	35,866	30,940
Operating expenses			
Research and development	3,208	4,047	2,975
Selling, general, and administrative	24,965	20,566	16,360
Total operating expenses	28,173	24,613	19,335
Income from operations	14,911	11,253	11,605
Other income (expense), net	204	(168)	(218)
Income before income taxes	15,115	11,085	11,387
Provision for income taxes	(2,632)	(1,303)	(2,055)
Net Income	**$ 12,483**	**$ 9,782**	**$ 9,332**
Earnings per share			
Basic	$ 0.62	$ 0.49	$ 0.52
Diluted	$ 0.60	$ 0.47	$ 0.50
Weighted-average common shares outstanding			
Basic	20,196	20,045	17,819
Diluted	20,749	20,743	18,538
Other comprehensive (loss) income, net of tax			
Foreign currency translation adjustments	(265)	(101)	58
Comprehensive income	**$ 12,218**	**$ 9,681**	**$ 9,390**

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SIMULATIONS PLUS, INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Year ended August 31,		
(in thousands)	2022	2021	2020
Cash flows from operating activities			
Net income	$ 12,483	$ 9,782	$ 9,332
Adjustments to reconcile net income to net cash provided by operating activities			
Depreciation and amortization	3,574	3,590	2,962
Change in value of contingent consideration	283	486	203
Amortization of investment premiums	1,678	2,350	—
Stock-based compensation	3,037	2,750	1,577
Deferred income taxes	(270)	(628)	(378)
Currency translation adjustments	(265)	(101)	—
(Increase) decrease in			
Accounts receivable	(3,936)	(2,429)	(2,018)
Prepaid income taxes	(379)	(42)	(12)
Prepaid expenses and other assets	1,081	(157)	(259)
Increase (decrease) in			
Accounts payable	(162)	39	221
Other liabilities	(1,437)	3,353	23
Deferred revenue	2,213	210	(739)
Net cash provided by operating activities	17,900	19,203	10,912
Cash flows from investing activities			
Purchases of property and equipment	(819)	(1,627)	(231)
Purchase of short-term investments	(100,846)	(122,395)	(67,249)
Proceeds from sale of short-term investments	109,121	100,229	—
Cash used to acquire subsidiaries	—	—	(9,471)
Cash received in acquisition	—	—	3,799
Capitalized computer software development costs	(3,151)	(2,949)	(2,353)
Net cash provided by (used in) investing activities	4,305	(26,742)	(75,505)
Cash flows from financing activities			
Payment of dividends	(4,846)	(4,811)	(4,250)
Payments on contracts payable	(3,667)	(1,334)	(1,761)
Proceeds from the exercise of stock options	891	1,461	630
Proceeds from follow-on public offering, net	—	—	107,747
Net cash (used in) provided by financing activities	(7,622)	(4,684)	102,366
Net increase (decrease) in cash and cash equivalents	14,583	(12,223)	37,773
Cash and cash equivalents, beginning of year	$ 36,984	$ 49,207	$ 11,434
Cash and cash equivalents, end of period	**$ 51,567**	**$ 36,984**	**$ 49,207**
Supplemental disclosures of cash flow information			
Income taxes paid	$ 3,233	$ 1,857	$ 2,353
Non-Cash Investing and Financing Activities			
Stock issued for acquisition of Lixoft	$ 1,166	$ 666	$ 3,261
Creation of contract liabilities for acquisition of subsidiaries	$ —	$ —	$ 4,528
Right of use assets capitalized	$ 624	$ 905	$ 1,499

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